

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

Pursuant to the information available in the case, AL computed the CBA in line with the methodology specified in s.33A(1) of the IRO. Specifically, Property W is a commercial building (i.e. interest in a building) used by AL, which is entitled to the relevant interest, for the purpose of its business during the respective year of assessment (s.40(1) of the IRO).

In this regard, 4% of the capital expenditure incurred on the construction of Property W (i.e. qualifying expenditure) has been computed by AL as the CBA annual allowance on the basis that AL is the qualified person entitled to the interest in that building i.e. Property W. In computing the CBA, AL used half of the Acquisition Price as the capital expenditure incurred on the construction of Property W.

Yet it appears that Property W was a used building (acquired by the previous owner from the property developer in 2010 upon the completion of the development). In this regard, AL should compute the annual allowance of CBA pursuant to s.33A(2) of the IRO instead of relying on the abovesaid provision. Specifically, the annual allowance to AL attributable from Property W should be computed in the following formula:-

$$\text{CBA Annual Allowance} = \text{Residue of expenditure after sale} \times \frac{1}{\text{Number of years from the year of assessment in the basis period for which the sale takes place to the 25th year after the year of assessment in which Property W was first used (A)}}$$

As Property W was sold to the previous owner by the developer in 2010 upon completion, and on the assumption that it was first used in the year of assessment 2010/11, (A) above should be 18 and is computed as follows:

Year of first use (per above assumption)	2010/11
25th years after the year of first use	2035/36
Number of years from 2018/19 to 2035/36	18 (inclusive)

Essentially, the residue of expenditure after sale with respect to Property W attributable to AL should be the residue of expenditure (i.e. tax written down value not yet claimed by the vendor) adding up (or deducting) balancing charge (or balancing allowance) attributable to the vendor upon disposal.

Answer 1(b)

Contextually, the IRO does not define the cost of construction of a commercial building or structure relevant to the capital expenditure incurred thereon in computing CBA. Yet half of the first assignment price, as adopted by the IRD, may constitute a fair proxy from the IRD's perspective in representing the original cost of constructing the property on the basis that construction cost has a direct and positive impact on the purchase price set by the developer (Reference to D21/07). As the burden of proof was on the taxpayers in justifying the basis adopted by them in ascertaining their respective tax position, AL must provide reasonable grounds to justify the use of basis other than the one raised by the IRD in order to ascertain the capital expenditure incurred on the construction of Property W.

Answer 2(a)

Notwithstanding that the IRD has agreed at the very beginning that Property Y was held by BL as long term capital asset upon the acquisition, the IRD may regard that there is a change of intention of BL in holding Property Y from long term capital asset to trading stock earlier this year upon the disposal of Property X. Specifically, unless there is substantial and objective evidence demonstrating that Property Y has continuously been held by BL as long term capital asset for the period after the disposal of Property X, the IRD may hold the view that BL changed its intention from long term investment assets into trading stocks with respect to its entire assets portfolio (i.e. Properties X and Y) earlier this year upon the disposal of Property X. This change of intention is particularly substantiated at the present time due to the envisaged disposal of Property Y resolved shortly after the disposal of Property X earlier this year.

Answer 2(b)

Upon the abovesaid change of intention, BL is deemed to have sold a capital asset at its market value and concurrently purchased a trading stock at its market value on the date of change of intention in holding the asset under the legal principle established in *Sharkey v Wernher HL 1955 TC 275 [1956]*. This principle is now codified as statute under s.15BA of the IRO. Specifically, under s.15BA(3)(a) of the IRO, if a person (i.e. BL) who carries on a trade owns an asset (i.e. Property Y), which was not trading stock of the trade and becomes trading stock of that trade, the cost of the trading stock is taken to be the amount that it would have realised if sold in the open market at the time it became trading stock of the trade.

As it appears that the market value of Property Y has continuously increased since earlier this year, it is possible that the gain to be derived by BL with respect to the disposal of Property Y would be segregated by the IRD into two portions. Effectively, the portion of gain attributable from the date of purchase to the date of change of intention (i.e. earlier this year) would be regarded as capital gain and not to be chargeable to profits tax, whilst the portion of the gain attributable from the date of change of intention until disposal would be regarded as trading in nature and be chargeable to profits tax.

Answer 3

Mr Chan and Mrs Chan
Salaries Tax Computation
Year of Assessment 2018/19

	Mr Chan HK\$	Mrs Chan HK\$	Total HK\$
Salary from AL @HK\$130,000 x 13	1,690,000		
INED remuneration	200,000		
Utilities subsidy	8,000		
Salary from tutorial centre		63,000	
Rental value [(1,690,000 + \$8,000 - \$3,300) x 10%] – (\$2,000x12) = \$145,470 (restricted to \$103,000 [\$127,000 – (\$2,000 x 12)] by electing the use of ratable value as the rental value under s.9(2)(b) of the IRO)	103,000		
Less: Professional accountancy body annual fee	<u>(3,300)</u>		
Net assessable income in total (by electing joint assessment under s.10(2) of the IRO)	<u>1,997,700</u>	<u>63,000</u>	2,060,700
Less: MPF contribution (limited to \$18,000 for Mr Chan)			(18,000)
Donation			<u>(6,000)</u>
			<u>2,036,700</u>
Less: Married person's allowance			(264,000)
Child allowance			(120,000)
Child allowance for child born during the year			<u>(120,000)</u>
Net chargeable income			<u>1,532,700</u>
Tax thereon at progressive rate			
First \$200,000			16,000
Remaining \$1,332,700 x 17%			<u>226,559</u>
			<u>242,559</u>
Tax thereon at standard rate (for Mr Chan only without electing joint assessment) @ (\$1,997,700 - \$18,000 - \$6,000) x 15%			<u>296,055</u>
Tax liabilities (lower of tax at progressive rates or standard rate, less \$20,000 tax reduction)			<u>222,559</u>

Answer 4(a)

Under Article 2 of the PRC Individual Income Tax Law, the monthly salary derived by Mr Chan from the PRC Subsidiary is categorised as employment income and chargeable to Individual Income Tax as salary and wages. Since Mr Chan stayed in the PRC for 100 days only in 2019 (i.e. less than 183 days to be regarded as a PRC tax resident), he would not be regarded as a PRC resident, and therefore only the income derived from the PRC Subsidiary would be subject to the PRC Individual Income Tax.

Answer 4(b)

Under Article 14(1) of the "Arrangement Between the Mainland of China and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Tax on Income" ("the Arrangement"), employment income derived by a resident of One Side (i.e. Hong Kong) with respect to an employment exercised in the Other Side (i.e. the PRC) may be taxed in that Other Side, unless the three conditions stipulated in Article 14(2) are all satisfied. Since Mr Chan's income has been borne by the PRC Subsidiary, essentially the second condition of Article 14(2) (i.e. the remuneration is paid by, or on behalf of, an employer who is not a resident of that Other Side) is not satisfied. Therefore, there is no preferential treatment by way of tax relief or tax credit available to Mr Chan under the Arrangement with respect of his income from the PRC Subsidiary.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

If GL disagrees with an assessment raised by an assessor, it can lodge an objection with the CIR within one month after the issue date of the notice of assessment for the year of assessment 2017/18. GL should lodge the objection in writing with precisely stated grounds for objection together with a duly completed profits tax return. In addition, GL is required to adduce evidence to prove the assessment is incorrect or excessive.

Answer 5(b)

- (i) If GL did not take any action, the estimated assessment becomes final and conclusive under s.70 of the IRO if no valid objection or appeal is lodged.

An assessment becomes final and conclusive by reason of s.70 notwithstanding that it is incorrect but is not appealed in time or that it provides for a greater liability for tax than would have been the case if a proper return had been available at the date of assessment and any such disparity does not constitute an arithmetical error within the meaning of s.70A(1).

- (ii) S.70 does not prevent an estimated assessment for profits tax from becoming final and conclusive even if a late return shows that an actual loss was made.

Answer 6(a)

All tax representatives should observe professional ethics in rendering tax services to their clients. In the course of providing tax consultancy services, tax advisors should ensure that they have competent professional knowledge for their tax practice. In addition, a tax advisor should put forward the best position in favour of its clients, provided that it does not in any way impair the standard of integrity and objectivity under s.600 "Ethics in Tax Practice" in the Code of Ethics for Professional Accountants (Revised Nov 2018) issued by the Hong Kong Institute of Certified Public Accountants. In particular, a tax advisor must not associate himself with any return or communication which he has reason to believe contains a false or misleading statement or contains statements or information furnished by the client recklessly or without any real knowledge of whether they are true or false.

In the present case, GL intended to provide incorrect information in the representation submitted to the CIR. Mr Ng should not take GL's suggestion and should advise the severity of providing false information. If GL did not take Mr Ng's advice, Mr Ng's responsibility would be to resign from acting as GL's tax representative and to inform the IRD of its withdrawal of services and give no further information to the authorities without the consent of GL unless required to do so by law.

Answer 6(b)

If GL disagrees with the Notice of Assessment to additional tax, GL can lodge an appeal in writing to the Clerk to the Board of Review under s.82B of the IRO. The written appeal should include the following documents:

- (i) The Notice of Assessment;
- (ii) The CIR's notice under s.82A(4);
- (iii) GL's representations under s.82A(4); and
- (iv) A statement of the grounds of appeal.

Answer 7(a)

Property A and the two car parking spaces are separable for sale and purchase. They will be regarded as separate and distinct, and the respective definitions of residential property and non-residential property as provided under the Stamp Duty Ordinance will be applied to determine the nature of the individual properties and ad valorem stamp duty will be charged on the basis of their respective considerations.

For stamp duty purposes, a PASP is a chargeable agreement for sale. The parties who entered into a PASP for acquisition of a residential property before 5 November 2016 are regarded as having "acquired" the property before that date.

Property A was a residential property, and its PASP was executed before 5 November 2016 (i.e. on 1 November 2016), which was chargeable under Head1(1A). However, since it was superseded by the ASP subsequently signed on 13 November 2016 (within 14 days of signing the PASP), the AFS becomes the chargeable instrument [Note 2(b) to head 1(1A) in the First Schedule].

Given that Property A was a residential property that was acquired before 5 November 2016 by a married couple jointly who did not own any residential property in Hong Kong at the time of acquisition and each of them was acting on his/her own behalf, the Scale 2 rate, determined with reference to the total consideration of \$30,000,000, will be applied to the acquisition of Property A.

The AVD payable on Property A is $\$25,000,000 \times 4.25\% = \$1,062,500$.

As to the two car parking spaces, they were non-residential properties acquired after 23 February 2013 and therefore Part 2 of Scale 1 rates will be applied to the acquisition, with the applicable rate determined with reference to the total consideration of \$30,000,000. AVD payable on the car parking spaces is $\$5,000,000 \times 8.5\% = \$425,000$.

As the ASP was duly stamped, the assignment will be chargeable with fixed duty of \$100 in conformity with the duly stamped AFS under s.29D(2)(a) of SDO.

Answer 7(b)

S.29DF of the SDO provides a refund mechanism for Hong Kong permanent residents who change their only residential property. A Hong Kong permanent resident who is acting on his or her own behalf in acquiring a residential property to replace his or her only residential property can apply for partial refund of AVD paid. The permanent resident will be subject to AVD at Scale 1 rates when acquiring the subject property, but he or she may seek a partial refund of AVD paid when proof is available to show that the previously owned property has been disposed of by an agreement for sale or conveyance on sale within the specified period.

As both Property B and Property C were acquired after 5 November 2016, the specified period is 12 months from the respective date of assignment of Property B and Property C. For Mr Chan, the specified period ended on 30 September 2018 (i.e. 12 months after the date Property B was assigned to him). For Mrs Chan, the specified period ended on 1 November 2018 (i.e. 12 months after the date Property C was assigned to her). Since Property A was disposed of before the expiration of the specified periods, Mr Chan and Mrs Chan are entitled to claim a partial refund in respect of the respective residential properties acquired by them.

The application for partial refund has to be made to the Collector not later than two months after the date of the conveyance on sale of Property A or not later than two years after the respective date of the agreement for sale or conveyance on sale of Property B and Property C on which AVD at Scale 1 rates had been paid, whichever is the later.

Answer 8(a)(i)

When AB licenses Account Easy to earn income, such royalty income would be taxable in Hong Kong if it is sourced in Hong Kong. As AB carries on business in Hong Kong and its profits are subject to tax under s.14, the general source principles should apply in determining the source of profits. The broad guiding principle is that one looks to see what the taxpayer has done to earn the profit in question and where he has done it (Hang Seng Bank and TVBI case). It is only the operations of the taxpayer that are the relevant consideration.

AB was carrying on business in Hong Kong and there is nothing to show that it has constituted any permanent establishment outside Hong Kong. The issue is whether the royalty income arose in or was derived from Hong Kong given that Account Easy was developed in Hong Kong but licensed for use outside Hong Kong by an licensing agreement signed during a meeting with WCL in Hong Kong.

IRD takes the view in paragraph 73 of DIPN 49 that where an intellectual property right is created or developed by a taxpayer carrying on business in Hong Kong, such royalty income is primarily generated by the taxpayer using his wits and labour to create and develop the property in Hong Kong. In this connection, the royalty income is regarded as sourced in Hong Kong and subject to profits tax, irrespective of the place where the licence is used.

As Account Easy was developed by AB carrying on business in Hong Kong, it is believed that AB developed Account Easy using its 'wits and labour' in Hong Kong, resulting in the source of all the related licensing income to be in Hong Kong and so subject to profits tax.

Answer 8(a)(ii)

Pursuant to s.16(1) of the IRO, expenses or outgoings are tax deductible only if they are incurred in the production of assessable profits. In case of a claim for irrecoverable debt, a deduction for bad debts is allowable only where the debts have previously been included as a taxable trading receipt or the debts arise from money lent in the ordinary course of a money lending business (s.16(1)(d)(i)). Notwithstanding that the loan interest being returned as taxable, the loan was not regarded as a trading receipt to AB, nor did it arise from a money-lending business. Therefore, it is not satisfied that the losses resulting from the staff's default in repaying the staff loans will be tax deductible to AB for arriving at the assessable profits.

Answer 8(b)

AB Company Limited – Profits tax computation
Year of assessment – 2017/18
Basis period: year ended 31 March 2018

	\$	\$
Profit before taxation		37,285,900
Add: Non-deductible expenses		
Depreciation	2,560,300	
Renovation of office premises (to be claimed as expenditure on building structure under s.16F)	820,000	
Renovation for residential property – directors' quarters (to be claimed under CBA)	500,000	
Professional consultancy fee for setting up a branch in UK	100,000	
Written-off of the outstanding amount due from employee	<u>1,100,000</u>	<u>5,080,300</u>
		42,366,200
Less: Non-taxable income and deductible expenses		
Exchange gain from translation of bank balance	136,700	
Renovation of office premises (other than domestic building) under s.16F: (\$820,000 / 5)	164,000	(300,700)
	<u> </u>	<u>42,065,500</u>
Less: Depreciation allowance	1,115,600	
Commercial building allowance	<u>232,960</u>	<u>(1,348,560)</u>
Assessable profits		<u>40,716,940</u>
Tax payable @16.5%		6,718,295
<u>Less: tax reduction (75% subject to a ceiling of \$30,000)</u>		<u>(30,000)</u>
		<u>6,688,295</u>

Depreciation allowance

	20% pool	30% pool	Total allowance
	\$	\$	\$
WDV b/f	2,468,000	320,000	
Addition	<u>350,000</u>	<u>400,000</u>	
	2,818,000	720,000	
Less: IA @ 60%	<u>(210,000)</u>	<u>(240,000)</u>	450,000
	2,608,000	480,000	
Less: AA @ 20%/30%	<u>(521,600)</u>	<u>(144,000)</u>	<u>665,600</u>
WDV c/f	<u>2,086,400</u>	<u>336,000</u>	<u>1,115,600</u>

Commercial building allowance

		\$
Ranking cost b/f		5,324,000
Add: Addition		<u>500,000</u>
Ranking cost c/f		<u>5,824,000</u>
	Total allowance	
	\$	\$
WDV b/f	3,275,000	
Add: Addition as per above	<u>500,000</u>	
	3,775,000	
Less: AA @ 4% of ranking cost c/f	<u>(232,960)</u>	<u>232,960</u>
WDV c/f	<u>3,542,040</u>	

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